

PURPOSE

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holding Inc.'s ("Hilton" or the "Company") accounting for foreign currencies, including transactions in foreign currencies and the translation of foreign currency denominated financial statements to the United States Dollar ("USD"), in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

BACKGROUND

The Company considers each international owned, leased, timeshare and joint venture properties a separate foreign entity for accounting purposes. This does not always align with the Company's legal entities and/or business units as a single foreign entity may encompass more than one legal entity/business unit or only be a component of a single legal entity/business unit (e.g., separate legal entities/business units that hold the fixed assets and employ the hotel employees may be considered one foreign entity).

The Company's foreign denominated subsidiaries are required to account for their operations in their determined functional currency, which is the currency of the primary economic environment in which the entity operates. This is typically the currency in which the entity primarily generates and expends cash in.¹ For the purposes of consolidated reporting (including equity method investments), the functional currency of each of the Company's foreign subsidiaries and investments must be determined in accordance with this policy. All transactions must be measured in an entity's functional currency before translation or remeasurement to USD.

A key distinction exists between remeasurement of foreign currency transactions and the translation of a foreign subsidiary or equity method investment's financial statements designated in foreign currencies. Remeasurement adjusts foreign currency transactions to the functional currency resulting in a foreign currency gain or loss that is recognized within the consolidated statement of operations. In contrast, translation of financial statements adjusts a functional currency other than USD for consolidated reporting purposes. This results in the recognition of a foreign Currency Translation Adjustment ("CTA") that resides in Other Comprehensive Income ("OCI") within equity.

SCOPE

The scope of this policy applies to all entities consolidated by Hilton or accounted for as an equity method investment. This policy also applies to the following types of transactions:

- Foreign currency transactions denominated in a currency other than the entities functional currency;
- Translation of financials with a functional currency that differs from the Company's reporting currency of USD;
- Translation of equity method investees' financial statements.

POLICY SUMMARY

This policy provides the details of Hilton's accounting for foreign currency. This policy is broken down into the following sections:

- I. Initial Recognition & Measurement
- II. Subsequent Measurement
 - a. Remeasurement of Foreign Currency Transactions
- III. Derecognition
 - a. Recognition of Gains and Losses on Foreign Currency Transactions
 - b. Release of CTA
 - c. Impairment Testing
- IV. Presentation
 - a. Functional Currency Determination
 - b. Translation Using Current Exchange Rate Method
- V. Financial Statement Line Items Affected

¹ ASC 830-10-20, Master Glossary

APPLICABILITY

This policy applies to all Finance, Asset Management, Development, and Legal personnel.

EXCLUSIONS / EXCEPTIONS

Derivative instruments are scoped out of the remeasurement guidance within this policy.

AUTHORIZATION

Required Consultations with Accounting Research & Policy

Accounting Research & Policy must be notified in the following circumstances to determine the appropriate accounting:

- 1) The Company intends to designate an intercompany loan as long-term.
- 2) The Company sells or exits an owned or leased foreign hotel property.
- 3) The Company sells all or a portion of a foreign equity method investment.
- 4) The Company acquires a foreign equity method investment via a step acquisition.
- 5) The Company deconsolidates a foreign venture or similar entity or a leased property.
- 6) The Company creates a new legal entity that is expected to have cash flows in a currency or currencies different from the local currency of the legal entity or the Company creates a new legal entity to serve as a holding or intermediary company for certain operations of the Company.
- 7) The Company repurposes an existing legal entity.
- 8) The Company acquires derivatives in foreign currencies.
- 9) The Company intends to settle an intercompany loan previously designated as long-term.

Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@Hilton.com.

POLICY DETAILS

I. Initial Recognition & Measurement

Foreign currency transactions are transactions that are denominated in a currency other than an entity's functional currency.² As a result, accounting for a foreign currency transaction first requires the entity's functional currency to be determined. For details on the determination of an entity's functional currency, refer to the **Presentation** section below.

Foreign currency transactions arise when an entity:

- Buys or sells goods or services on credit for prices denominated in a foreign currency;
- Borrows or lends money denominated in a foreign currency;
- Is a party to an unperformed forward exchange contract;
- Acquires or disposes assets denominated in a foreign currency;
- Incurs or settles liabilities denominated in a foreign currency.

For all domestic and international subsidiaries, foreign currency transactions should be measured in the functional currency of the subsidiary as of the date the transaction is recognized, using the exchange rate as of the transaction date.³

II. Subsequent Measurement

Note: If an entity's books are not maintained in its functional currency, remeasurement into the function currency is required and must occur before translation into the Company's reporting currency.⁴ Please refer to the **Presentation** section for guidance on translating an entity's functional currency to the Company's reporting currency.

a. Remeasurement of Foreign Currency Transactions

On a monthly basis the Company should remeasure foreign currency into the functional currency using the following exchange rates:

² ASC 830-20-20, *Foreign Currency Matters, Foreign Currency Transactions, Glossary*

³ ASC 830-20-30-1, *Foreign Currency Matters, Foreign Currency Transactions, Initial Measurement*

⁴ ASC 830-10-45-17, *Foreign Currency Matters, Overall, Other Presentation Matters*

- Monetary assets and liabilities (e.g., cash, receivables, payable, debt) – Current Exchange Rate.⁴
- Nonmonetary assets and liabilities (e.g., fixed assets, intangible assets) – Historical Exchange Rates.⁵
- Equity – Historical Exchange Rates⁶

Exchange gains and losses from the remeasurement of monetary assets and liabilities should be recognized currently in net income because they represent changes in the amount of the functional currency cash flows necessary to settle the transaction.⁷ Nonmonetary assets and liabilities include but are not limited to:

- Marketable securities carried at cost;
- Inventories carried at cost;
- Prepaid expenses such as insurance, advertising and rent;
- Property, plant and equipment;
- Accumulated depreciation on property, plant and equipment;
- Patents, trademarks, licenses, and formulas;
- Goodwill;
- Other intangibles such management and franchise contracts
- Revenues and expenses related to nonmonetary items such as cost of goods sold, depreciation and amortization of intangibles.

However, gains and losses on the following foreign currency transactions should not be included in net income but recognized as part of CTA to be released upon eventual settlement:

1. Foreign currency transactions designated as and are effective as economic hedges of a net investment in a foreign entity, commencing as of the designation date;
2. Intercompany foreign currency transactions that are of a long-term-investment nature (i.e., settlement is not planned or anticipated in the foreseeable future).⁸

⁵ ASC 830-10-45-18, *Foreign Currency Matters, Overall, Other Presentation Matters*

⁶ ASC 830-10-45-18, *Foreign Currency Matters, Overall, Other Presentation Matters*

⁷ ASC 830-20-35-1, *Foreign Currency Matters, Foreign Currency Transactions, Subsequent Measurement*

⁸ ASC 830-20-35-3, *Foreign Currency Matters, Foreign Currency Transactions, Subsequent Measurement*

Illustration I – Subsequent Measurement – Transactions

Facts:

A US company with USD functional currency has an invoice payable to a vendor located in a foreign country. The invoice is denominated in the foreign vendor's local currency (LC). The following is the information relevant for the Remeasurement:

Amount of invoice	LC 100.0M
Exchange rate at transaction date	0.0050
Exchange rate at balance sheet date	0.0060

Analysis:

	Local currency
Invoice balance at:	
Transaction date (LC * 0.0050)	0.5M
Balance sheet date (LC * 0.0060)	0.6M
Difference – recognized in income as an exchange loss for the period	0.1M

The journal entry to account for this is as follows:

DR: Loss on foreign currency transactions	\$0.1M	
CR: Accounts payable, accrued expenses and other		\$0.1M

*Refer to presentation section below for discussion of the translation of financial statements denominated in a functional currency that differs from the reporting currency.

III. Derecognition

a. Recognition of Gains and Losses on Foreign Currency Transactions

A transaction gain or loss (measured from the transaction date or the most recent intervening balance sheet date, whichever is later) realized upon settlement of a foreign currency transaction generally shall be included in determining net income for the period in which the transaction is settled.⁹

b. Release of CTA

If the Company sells 100% of our ownership interest in, or substantially liquidates at least 90% of the assets of one of our foreign subsidiaries or equity method investments the full amount of accumulated in CTA attributable to the foreign entity sold must be both:

1. Removed from CTA, and
2. Recognized as part of the gain or loss on the sale.¹⁰

Additionally, the Company will release CTA upon the deconsolidation of a foreign entity and/or a step acquisition of foreign entity.

If only a portion of an equity method investment or a group of assets within a foreign entity that meets the definition of a business is sold, a proportionate share of CTA attributable to the investment or group of assets must be released from CTA and recognized in measuring the gain or loss on the sale.¹¹

Note, while Hilton assign a functional currency to all Business Unit's within the financial statement systems, the Company's accounting definition of a foreign entity for the application of this guidance does not necessarily align with legal entities. Please refer to the background section above for the Hilton definition of a foreign entity.

⁹ ASC 830-20-40-1, Foreign Currency Matters, Foreign Currency Transactions, Derecognition

¹⁰ ASC 830-30-40-1, Foreign Currency Matters, Translation of Financial Statements, Derecognition

¹¹ ASC 830-30-40-2, Foreign Currency Matters, Translation of Financial Statements, Derecognition

c. Impairment Testing

If the Company has committed to a plan to substantial liquidate one of our foreign subsidiaries or equity method investments, then any CTA associated with that investment, along with any gain or loss from an effective hedge, should be included as part of the carrying amount when evaluating for impairment.¹² If there is no plan to substantial liquidate one of our foreign subsidiaries or equity method investments, then CTA should not be included as part of the carrying amount when evaluating for impairment.¹³ Please refer to **FP-FIN-034 – Impairment Accounting Policy** for additional details.

IV. Presentation

a. Functional Currency Determination

The functional currency is the currency of the primary economic environment in which a foreign entity operates. Typically, the local currency of an entity is the functional currency as this is the currency an entity primarily generates and expends cash. However, this is not always the case and two broad classes of foreign operations exist to facilitate functional currency determination.

- a. Functional Currency is Foreign Currency:* Foreign operations are relatively self-contained and integrated within a particular country or economic environment. The daily operations of the foreign entity are independent from the economic environment of the parent's functional currency. The foreign operation's cash flows are primarily received and paid in a foreign currency and do not directly affect the parent's cash flows.
- b. Functional Currency is Parent's Currency:* Foreign operations are primarily a direct extension or integral component of the parent's operations. The foreign operation's cash flows are primarily in the parent's functional currency. Its daily operations are integrated with its parent and the foreign operation's cash flows directly affect the parent's cash flows. In certain legal structures, there may be intermediate parent entities which should be considered as the parent entity to those foreign operations they hold.¹⁴

In the rare occasion that functional currency is not apparent, the Company considers relevant economic factors in determining functional currency, including, but not limited to, indicators based on cash flows, sales prices, sales markets, expenses, financing, and intercompany transactions and arrangements¹⁵.

Functional currency determination is documented and reviewed for all BUs set up in the general ledger. Refer to the authorization section above for required consultation with R&P.

Cash Flow Statement

The statement of cash flows of the Company shall report the functional currency equivalent of foreign currency cash flows using the exchange rates in effect at the time of the cash flows. An appropriately weighted average exchange rate for the period may be used for translation if the result is substantially the same as if the rates at the dates of the cash flows were used. The statement of cash flows shall report the effect of exchange rate changes on cash balances held in foreign currencies as a separate part of the reconciliation of the change in cash and cash equivalents during the period.¹⁶

Changes in Functional Currency

Once determined, the functional currency should be used consistently unless significant changes in economic facts and circumstances clearly indicate the functional currency has changed. It is unlikely that a foreign entity should present significant changes in economic facts and circumstances and therefore, such changes are expected to be infrequent.

¹² ASC 830-30-45-13 and 45-15, *Foreign Currency Matters, Overall, Other Presentation Matters*

¹³ ASC 830-30-45-14, *Foreign Currency Matters, Overall, Other Presentation Matters*

¹⁴ ASC 830-10-45-4, *Foreign Currency Matters, Overall, Other Presentation Matters*

¹⁵ ASC 830-10-45-6, *Foreign Currency Matters, Overall, Other Presentation Matters*

¹⁶ ASC 830-230-45-1, *Foreign Currency Matters, General, Other Presentation Matters*

If a change in the functional currency is required based on significant changes in economic facts and circumstances, the change should be accounted for prospectively. Previously issued financial statements should not be restated.¹⁷

If the functional currency changes from Company's reporting currency (i.e., USD) to a foreign currency:

- Nonmonetary assets should be remeasured in the foreign currency using historical exchange rates as if the nonmonetary assets were initially recorded in the foreign currency, and then translated to USD using the current exchange rate. Any difference between amounts of nonmonetary assets and liabilities measured with USD as the functional currency and amounts remeasured in the foreign currency and translated to USD is recognized within CTA¹⁸.

If the functional currency changes from a foreign currency to the Company's reporting currency (i.e., USD):

- Amounts reported in CTA for prior periods should remain in CTA until the foreign subsidiary or investment is sold. Refer to **Derecognition** section above for details.
- Translated USD balances for nonmonetary assets at the end of the prior reporting period become the accounting basis for those assets beginning in the current period.¹⁹

Depreciation and amortization should be prospectively determined based on the new accounting basis²⁰.

Highly Inflationary Economies

When a foreign entities functional currency becomes highly inflationary, the functional currency must be changed to the Company's reporting currency (i.e., USD). A highly inflationary economy is an economy that has cumulative inflation of approximately 100% or more over the 3-year period from the beginning of the reporting period, compounded annually²¹. If the 3-year cumulative inflation rate is significant but less than 100%, historical inflation rate trends are considered to determine whether highly inflationary treatment is appropriate.²²

b. Translation Using Current Exchange Rate Method

The functional currency financial statements of our consolidated foreign subsidiaries not denominated in USD must be translated monthly to USD using the current exchange rate method²³. The Company translates account balances using the following exchange rates as obtained by our Treasury team:

- Assets and liabilities, including equity method investments – current end of month exchange rate as of the reporting date**Error! Bookmark not defined.**;
- Income statement, including equity in current earnings of equity method investments – weighted average exchange rate for the reporting period²⁴
- Equity – historical exchange rate (i.e. retained earnings remains at the weighted average exchange rate in effect for each historical reporting period)²⁵;
- Capital transactions (i.e. capital contributions, distributions, etc.) – historical exchange rate on the transaction date¹⁵;

¹⁷ ASC 830-10-45-7, Foreign Currency Matters, Overall, Other Presentation Matters

¹⁸ ASC 830-10-45-9, Foreign Currency Matters, Overall, Other Presentation Matters

¹⁹ ASC 830-10-45-10, Foreign Currency Matters, Overall, Other Presentation Matters

²⁰ ASC 250-10-45-17 through 45-18, Accounting Changes and Error Corrections, Overall, Other Presentation Matters

²¹ ASC 830-10-45-11, Foreign Currency Matters, Overall, Other Presentation Matters

²² ASC 830-10-45-12, Foreign Currency Matters, Overall, Other Presentation Matters

²³ ASC 830-30-45-3, Foreign Currency Matters, Translation of Financial Statements, Other Presentation Matters

²⁴ ASC 830-30-55-10 through 55-11, Foreign Currency Matters, Overall, Implementation Guidance and Illustrations

²⁵ ASC 830-10-45-17, Foreign Currency Matters, Overall, Other Presentation Matters

Any resulting difference from translation is CTA and should be recorded within OCI.²⁶

If the functional currency of one of our foreign subsidiaries acquired as a business combination is not in USD, the amounts allocated to assets acquired and liabilities assumed in the business combination (including goodwill or the gain recognized for a bargain purchase) are translated under the current rate method.²⁷ Refer to **FP-FIN-035 – Business Combinations Accounting Policy**.

Multiple Exchange Rates

Certain currencies may have multiple rates at which currency may be exchanged at any given time. For example, multiple exchange rates exist for the Venezuelan bolivar fuerte (“BsF” or “VEF”).

Foreign currency transactions should be remeasured using the exchange rate at which the transaction could be settled at the transaction date. In the absence of unusual circumstances, foreign currency financial statements should be translated using the exchange rate applicable to conversion of a currency for purposes of dividend remittances. The differences in these definitions may allow our foreign entities to remeasure foreign currency transactions at one rate and translate the balances at another rate, which may result in presentation of USD-denominated instruments on the Company’s consolidated financial statements at an amount different from the actual USD-denominated value.²⁸

V. Financial Statement Line Items Affected

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	<u>Balance Sheet Line Item</u>	<u>Income Statement Line Item</u>	<u>Cash Flow Statement Section</u>
Gain on remeasurement of foreign currency denominated monetary assets and liabilities	- Various assets and liabilities (debit)	- Gain on foreign currency transactions (credit)	- N/A
Loss on remeasurement of foreign currency denominated monetary assets and liabilities	- Various assets and liabilities (credit)	- Loss on foreign currency transactions (debit)	- N/A
Recognition of a gain upon settlement of a foreign currency transaction (monetary assets and liabilities)	- Cash and cash equivalents (debit or credit) - Various assets and liability accounts (debit or credit)	- Gain on foreign currency transactions (credit)	- Operating Activities (reconciling item to net income)
Recognition of a loss upon settlement of a foreign currency transaction (monetary assets and liabilities)	- Cash and cash equivalents (debit or credit) - Various assets and liability accounts (debit or credit)	- Loss on foreign currency transactions (debit)	- Operating Activities (reconciling item to net income)

²⁶ ASC 830-30-45-12, *Foreign Currency Matters, Translation of Financial Statements, Other Presentation Matters*

²⁷ ASC 830-30-45-11, *Foreign Currency Matters, Translation of Financial Statements, Other Presentation Matters*

²⁸ ASC 830-30-S99-1, *Foreign Currency Matters, Translation of Financial Statements, S99 SEC Materials, General*

Translation of foreign currency into USD	- Various assets and liability accounts (debit or credit) - Accumulated Other Comprehensive gain/loss (debit or credit)	- N/A	- N/A
Substantial liquidation of a Foreign Entity	- Accumulated Other Comprehensive gain/loss (debit or credit)	- Gain (loss) on foreign currency transactions (debit/credit)	- Operating Activities (reconciling item to net income)

DEFINITIONS

Term / Acronym	Definition
Cumulative Translation Adjustment ("CTA")	CTA reflects the cumulative foreign currency translation gains and/or losses resulting from the translation process. CTA is a component of "Accumulated other comprehensive income (loss)" and is presented as "Foreign currency translation" in the Company's Consolidated Statement of Comprehensive Income (Loss). The Company should maintain records of the CTA for each foreign subsidiary and equity method investment for the purposes of gain or loss determination in the event of sale and disclosure of CTA attributable to Hilton and noncontrolling interests. An analysis of the changes in CTA during the period should be disclosed in the Company's notes to the consolidated financial statements.
Current Exchange Rate	The exchange rate as of the reporting period end date. Current exchange rates are applied to monetary assets and liabilities during the remeasurement process and to all assets and liabilities during the translation process.
Entity	A distinct and separate legal entity in which we the Company holds an ownership interest in a foreign subsidiary or equity method investment.
Exchange Rate	The ratio between a unit of one currency and the amount of another currency for which that unit can be exchanged at a particular time. If the exchange rate is temporarily unavailable due to a lack of exchangeability on a particular date, the first subsequent rate at which exchanges could be made is used.²⁹
Foreign Currency	A currency other than the functional currency ascribed to an entity. Foreign currencies must be remeasured to the functional currency.
Foreign Currency Transactions	Transactions whose terms are denominated in a currency other than the entity's functional currency. Foreign currency transactions must be remeasured in the functional currency before translation into USD.
Functional Currency	The currency of the primary economic environment in which the entity operates. It is normally the currency of the environment in which an entity primarily generates and expends cash. Typically, the functional currency is the local currency unless specific factors indicate otherwise. See Subtopic II for

²⁹ ASC 830-20-30-2, Foreign Currency Matters, Foreign Currency Transactions, Initial Measurement and ASC 830-30-45-9

	guidance on determining the functional currency. Functional currency drives the remeasurement and translation processes. In the rare occasion that functional currency is not apparent, the Company considers relevant economic factors in determining functional currency, including, but not limited to, indicators based on cash flows, sales prices, sales markets, expenses, financing, and intercompany transactions and arrangements.
Highly Inflationary Economies	Economies that have a cumulative inflation of approximately 100% or more over a 3-year period from the beginning of the reporting period, compounded annually.³⁰ If the 3-year cumulative inflation rate is significant but less than 100%, historical inflation rate trends are considered to determine whether highly inflationary treatment is appropriate.³¹
Historical Exchange Rate	The exchange rate at the date of a foreign currency transaction. For example, the historical exchange rate for acquisition of equipment in a foreign currency transaction is the exchange rate at the acquisition date. Historical exchange rates are applied to nonmonetary assets and liabilities and equity accounts during the remeasurement process and to equity and capital transactions (i.e. contributions, distributions, etc.) during the translation process.
Local Currency	The currency of a particular country or territory.³² Typically the functional currency is the local currency unless specific factors indicate otherwise.
Remeasurement of Foreign Currency Transactions	The method applied to an entity's accounts maintained in a currency other than its functional currency to measure transactions in the functional currency. Remeasurement adjusts foreign currency transactions to the functional currency and recognizes a gain or loss in the Consolidated Statement of Operations for accounts denominated in foreign currency different from the entity's functional currency to reflect the impact of exchange rates on net functional currency cash flows. The most common example of remeasurement will occur when our subsidiaries has receivables and payables in a foreign currency.
Reporting Currency	The currency in which a reporting entity prepares its financial statements.³³ The Company's reporting currency is USD. Many of the Company's foreign subsidiaries have statutory reporting requirements in their local currency. However, for the purposes of this policy, statutory reporting currency is not considered to be a reporting currency.
Translation of Foreign Currency Financial Statements	The process of expressing in the reporting currency (USD) amounts that are measured in a different currency. All of the Company's consolidated subsidiaries with a non-USD designated functional currency must be translated to USD for consolidated reporting purposes. Foreign currency gains and/or losses resulting from the translation process are recognized in CTA and presented as foreign currency translation in the Company's Consolidated Statement of Comprehensive Income.

³⁰ ASC 830-10-45-11, *Foreign Currency Matters, Overall, Other Presentation*

³¹ ASC 830-10-45-12, *Foreign Currency Matters, Overall, Other Presentation*

³² ASC 830-10-20, *Glossary*

³³ ASC 830-10-20, *Glossary*

Weighted Average Exchange Rate	The weighted average exchange rate over a period calculated using daily ending exchange rates for the period. Weighted average exchange rates are used to approximate exchange rates over the reporting period.³⁴ The weighted average exchange rate is applied to income statement items in the remeasurement and translation processes to approximate the exchange rates over the reporting period.
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ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
For questions refer to AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research & Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research & Policy team or the listed e-mail.

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures

[FP-FIN-033 – Impairment Accounting Policy](#)

[FP-FIN-035 – Business Combinations Accounting Policy](#)

Tools / Templates	Location
Attachment I	Accounting for Foreign Currency - Example of the Remeasurement Process
Attachment II	Accounting for Foreign Currency - Example of the Translation Process

³⁴ ASC 830-10-55-10, Foreign Currency Matters, Overall, Implementation Guidance and Illustrations